

Sunita Sharma vs Sonia Khanna on 3 January, 2024

IN THE COURT OF
METROPOLITAN MAGISTRATE (NI ACT) - 08
SOUTH WEST DISTRICT, DWARKA COURTS, DELHI
Presided by : Sh. Apoorv Bhardwaj

In case of:-

SUNITA SHARMA

... Complainant

VERSUS

SONIA KHANNA

... Accused

JUDGMENT

- | | |
|---|--|
| a) Sl no. of the case : | 15969/2017 |
| b) CNR of the case : | DLSW020222402017 |
| c) Date of institution | 11.08.2017 |
| d) Name, parentage and address of the complainant : | Smt. Sunita Sharma
W/o Sh. Amit Kumar Sharma
R/o R-605, Group III, Pocket C,
Hastal Janta Flat, DDA Flat, Uttam
Nagar, New Delhi - 110059. |
| e) Name, parentage and | Smt. Sonia Khanna |

address of the accused: W/o Sh. Devender Khanna R/o H.No.766, Group III, DDA Flat, Pocket C, Hastal Janta Flat, Uttam Nagar, New Delhi- 110059

f) Offence complained of : 138 NI Act

g) Total cheque amount : Rs.3,70,000/-

- | | |
|--------------------------|--------------------|
| h) Plea of the accused : | Pleaded not guilty |
| i) Final order : | Acquitted |
| j) Date of Judgment : | 03.01.2024 |

BRIEF STATEMENT OF FACTS FOR THE DECISION

1. Vide this judgment, I shall decide the present complaint filed under section 138 of the Negotiable Instruments Act, 1881 (hereinafter referred to as 'NI Act') by the complainant against the accused.

Factual Background

2. As per the version set out in the complaint, the parties were well acquainted with each other and the accused was engaged in the business of manufacturing of children's fancy dresses and running partnership firm in the name and style of M/S Om Sai Costumes with her partner Sh. Om Bahadur.

3. In the month of April, 2015 the accused approached the complainant seeking a personal loan of Rs 4,00,000/- for a period of three months. Thereafter, the complainant advanced a sum of Rs 4,00,000/- in cash to the accused on 15.04.2015. In discharge of her part liability, the accused issued various cheques in the month of July and August, 2015 but the same were dishonoured for the reason 'insufficient funds'. Thereafter, the accused left her house and went to a place whose whereabouts were known to the complainant for one and a half years.

4. In the month of April, 2017, the accused returned back and paid Rs 30,000/- in cash to the complainant and sought two months more time to repay her entire debt. Thereafter, on 27.06.2017 the accused handed over the two cheques in question for a sum of Rs 2,00,000/- and Rs 1,70,000/- respectively.

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5. These cheques were presented by the complainant to her bank i.e. Bank of India, Uttam Nagar, Delhi and were returned unpaid for the reason "Account Closed". Legal demand notice was issued to the accused in regular course, however, she failed to pay the total cheque amount within 15 days thereof and hence the present case.

Trial & Proceedings before the Court

6. Upon a prima facie consideration of pre-summoning evidence, cognizance of offence under section 138 NI Act was taken and the accused was summoned. Thereafter, separate notice explaining the accusation was put to the accused under section 251 of The Code of Criminal Procedure, 1973 (hereinafter referred to as 'CrPC') to which she pleaded not guilty and claimed trial. At this stage the following aspects were admitted/denied by her:-

6.1. Acquaintance with the complainant - Denied 6.2. Signatures on the cheque in question - Denied. 6.3. Filling up of material particulars on the cheque in question - Denied 6.4. Receiving the legal demand notice - Denied In her defence she stated that she was neither acquainted with the complainant nor did she issue the cheques in question in her favour. She did not know as to how the complainant procured the said cheques. The same have been misused. She had no liability towards the complainant.

7. Thereafter, she was granted an opportunity to cross-examine the complainant under section 145(2) NI Act. An application under Ct Case No.15969/2017 Sunita Sharma vs. Sonia Khanna Page no.3 of 16 section 205 CrPC was also moved on behalf

of the accused for permanent exemption from appearance on medical grounds. Same was allowed.

8. The complainant was examined as CW-1 and she relied on pre-summoning evidence as post summoning evidence i.e on evidence by way of affidavit Ex CW1/1 and on the following documents :-

8.1. Ex. CW1/A and Ex CW1/B i.e. the cheques in question 8.2. Ex. CW1/C i.e. the return memo 8.3. Ex. CW1/D i.e. the legal notice 8.4. Ex. CW1/E and Ex CW1/F i.e. the postal and courier receipt respectively 8.5. Ex CW1/G and Ex CW1/H i.e. the returned postal and courier envelope respectively I shall observe right here that the cheques in question have been drawn on different bank accounts maintained with ING Vysya Bank, Janakpuri Branch. The details of the cheques in question are being presented in tabular form for ready reference.

S.no	Account Number	Amount (in Rs)	Name of account holder	Hereafter referred as
1.	646010074663	2,00,000/-	Not mentioned	'First Cheque'
2.	646011011985	1,70,000/-	Om Sai Costumes	'Second Cheque'

9. Thereafter, CW-1 was cross-examined and CE was closed.

10. Thereafter a statement of the accused under section 313 CrPC was Ct Case No.15969/2017 Sunita Sharma vs. Sonia Khanna Page no.4 of 16 recorded. At this stage, she reiterated the defence disclosed by her at the stage of framing of notice under section 251 CrPC. She opted to lead defence evidence.

11. The husband of the accused appeared as DW-1. He was cross-examined.

12. The accused also examined a bank witness from ING Vysya Bank as DW-2 who placed on record a copy of his ID proof as Ex DW2/1 and the summoned record pertaining to account numbers 646010074663 & 646011011985 as Ex DW2/2 (colly). He was cross-examined. During his cross-examination he proved that Ex DW2/X1 was a narration transaction of cheque Ex CW1/A and the reason for dishonour was 'account blocked'. He also proved that Ex DW2/X2 was a narration transaction of cheque Ex CW1/B. More importantly, he stated that account no.

646011011985 was an account of a partnership firm and was opened by Sonia Khanna and Om Bahadur and account holder of account no.646010074663 was Sharda1 Devi w/o Om Bahadur. Thereafter, DE was closed

13. The matter was fixed for final arguments on 01.10.2022.

However, despite multiple opportunities granted to the complainant over a span of more than a year, she failed to lead any oral/written arguments. Accordingly, the matter is being decided upon perusal of the record.

14. Written submissions were filed on behalf of the accused by Sh.

Neeraj Kumar Jha who prayed that the accused be acquitted. The Inadvertently mentioned as Sarda Devi in cross-examination due to a typographical error Ct Case No.15969/2017 Sunita Sharma vs. Sonia Khanna Page no.5 of 16 crux of his arguments is as follows:-

14.1. The financial capacity of the complainant to advance the alleged loan amount was not proved 14.2. Loan was not shown in her ITR 14.3. No documentary proof of advancing the loan has been shown 14.4. The accused is not a drawer of the cheque drawn on account no. 646010074663.

14.5. As far as the second cheque is concerned, it is drawn on an account belonging to the partnership firm Om Sai Costume. However, neither did the complainant array the firm nor did she array the second partner i.e. Om Bahadur in the array of the accused persons.

Therefore, since the drawer of the cheque has not been made an accused the complaint is not maintainable. He relied on the decision of the Hon'ble Supreme Court of India in 14.6. Accused was extremely sick in the year 2015 and has neither taken any loan from the complainant nor did she issue any cheque to her.

14.7. The complainant has filed a false case against the accused in connivance with Om Bahadur.

Legal Position:-

15. Before proceeding further to reflect upon the defence and evaluation of evidence, the foremost check point is whether the facts averred by the complainant fulfil the basic statutory requirement for constituting an offence under section 138 NI Act.

Ct Case No.15969/2017 Sunita Sharma vs. Sonia Khanna Page no.6 of 16 To establish the offence under Section 138 of the NI Act against the accused, the complainant must prove the following:-

(i) The accused must have drawn a cheque on an account maintained by him in a bank for payment of a certain amount of money to another person from out of that account;

(ii) The cheque should have been issued for the discharge, in whole or in part, of any debt or other liability;

(iii) That cheque has been presented to the bank within a period of three months from the date on which it is drawn or within the period of its validity whichever is earlier;

(iv) That cheque is returned by the bank unpaid, either because of the amount of money standing to the credit of the account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with the bank;

(v) The payee or the holder in due course of the cheque makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, within 30 days of the receipt of information by him from the bank regarding the return of the cheque as unpaid;

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(vi) The drawer of such cheque fails to make payment of the said amount of money to the payee or the holder in due course of the cheque within 15 days of the receipt of the said notice.

Being cumulative it is only when all the aforementioned ingredients are satisfied that the person who had drawn the cheque can be deemed to have committed an offence under section 138 NI Act.

16. It is also apt to discuss that a negotiable instrument including a cheque carries following presumptions in terms of Section 118 (a) and Section 139 of the NI Act.

Section 118 of the NI Act provides :

"Presumptions as to negotiable instruments: Until the contrary is proved, the following presumptions shall be made:

(a) of consideration :- that every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted, indorsed, negotiated or transferred was accepted, indorsed, negotiated or transferred for consideration;"

Section 139 of the N.I Act further provides as follows:

"Presumption in favour of holder:- it shall be presumed, unless the contrary is proved, that the holder of a cheque received the cheque of the nature referred to in Section 138 for the discharge, in whole or in part, of any debt or other liability"

Thus, the combined effect of Section 118(a) and Section 139 of NI Act raises a presumption in favour of the holder of the cheque that he has received the same for discharge, in whole or in part of Ct Case

No.15969/2017 Sunita Sharma vs. Sonia Khanna Page no.8 of 16 any debt or other liability.

17. When the presumption is raised in favour of the complainant, the burden is shifted on the accused to disprove the case of the complainant by rebutting the presumption. The accused can displace this presumption on the scale of preponderance of probabilities. Lack of consideration or a legally enforceable debt need not be proved beyond a reasonable doubt as is the general rule in criminal cases. The accused has to make out a fairly plausible defence which is acceptable to the court. This the accused can do either by leading his own evidence or by raising doubt /demolishing the material or evidence brought on record by the complainant. Reliance can be placed on Basalingappa v Mudibasappa (2019) 5 SCC 418.

18. Further, the court need not insist in every case that the accused should disprove the non-existence of consideration and debt by leading direct evidence because the existence of negative evidence is neither possible nor contemplated. Something which is probable has to be brought on record for getting the burden of proof shifted to the complainant. To disprove the presumptions, the accused should bring on record such facts and circumstances, upon consideration of which, the court may either believe that the consideration and debt did not exist or their non-existence was so probable that a prudent man would under the circumstances of the case, act upon the plea that they did not exist. The accused may also rely upon circumstantial evidence to shift the burden again on the complainant. [Refer: Bharat Barrel and Drum Manufacturing Company v Amin Chand Pyarelal 1999 Ct Case No.15969/2017 Sunita Sharma vs. Sonia Khanna Page no.9 of 16 SCCOnline SC 188 and Kumar Exports v Sharma Carpets, 2008 SCC OnLine SC 1885].

19. Also, the test of proportionality should guide the construction and interpretation of reverse onus clauses and the defendant-accused cannot be expected to discharge an unduly high standard or proof. Presumption of innocence as a human right needs to be delicately balanced with doctrine of reverse burden contained in section 139 of NI Act. [Reference can be made to Rangappa v Sri Mohan 2010 SCC OnLine SC 583 and Krishna Janardhan Bhat v Dattatreya G Hegde 2008 (4) SCC 54].

20. Having referred to the above judicial pronouncements and the case record, the following points of determination arise in the present case Point for determination No. 1 : Whether presumption can be raised against the accused Sonia Khanna in the present case Point for determination No. 2 : If answer to the above is in the affirmative then whether the accused has been able to rebut the presumption against her Analysis and Discussion Point for determination No. 1 : Whether presumption can be raised against the accused Sonia Khanna in the present case

21. In the present case, the complainant has filed on record the Ct Case No.15969/2017 Sunita Sharma vs. Sonia Khanna Page no.10 of 16 original cheques as Ex. CW1/A and Ex CW1/B. The bank witness DW-2 has proved that the first cheque i.e. Ex CW1/A is drawn on an account maintained by one Ms Sharda Devi w/o Om Bahadur. Perusal of account opening form with respect to this cheque shows that the accused Sonia Khanna is neither the drawer of the cheque nor is she its authorised signatory. She doesn't seem to have any connection with this cheque whatsoever. Therefore, the prosecution against the accused with respect to the first cheque is entirely misconceived.

22. Now coming to the second cheque in question. The complaint, affidavit and legal demand notice of the complainant shows that she was very much aware that the accused was running a partnership firm in the name and style of Om Sai Costumes with her partner Sh. Om Bahadur. The name of the firm i.e. Om Sai Costumes is clearly inscribed on the second cheque in question as well. Despite such clear indications the complainant did not array the firm/drawer of the cheque as an accused in the present case. The legal demand notice would show that it was addressed to the accused in her personal capacity and the memo of parties would also show that the partnership firm was never arraigned as an accused person. The bank witness DW2 also proved that the account belongs to the partnership firm Om Sai Costumes and that the accused and Om Bahadur were its authorised signatories. Perusal of customer information form (part of Ex DW2/2 (colly) would also indicate that the account was opened in the name of the partnership firm.

23. It is trite that proceedings under section 138 NI Act against an Ct Case No.15969/2017 Sunita Sharma vs. Sonia Khanna Page no.11 of 16 authorised signatory are not maintainable without arraigning the company/firm as an accused. This aspect is no more res integra in light of the dictum of Hon'ble Supreme Court of India in Aneeta Hada (Supra), wherein the question that "whether an authorised signatory of a company would be liable for prosecution under Section 138 of the Negotiable Instruments Act, 1881 without the company being arraigned as an accused." was decided. It was held by the Hon'ble Supreme Court as follows:

"21. At this juncture, we may refer to Section 141 which deals with offences by companies. As the spine of the controversy rests on the said provision, it is reproduced below:

"141. Offences by companies.-(1) If the person committing an offence under Section 138 is a company, every person who, at the time the offence was committed, was in charge of, and was responsible to the company for the conduct of the business of the company, as well as the company, shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly:

Provided that nothing contained in this subsection shall render any person liable to punishment if he proves that the offence was committed without his knowledge, or that he had exercised all due diligence to prevent the commission of such offence :
Provided further that where a person is nominated as a Ct Case No.15969/2017 Sunita Sharma vs. Sonia Khanna Page no.12 of 16 Director of a company by virtue of his holding any office or employment in the Central Government or State Government or a financial corporation owned or controlled by the Central Government or the State Government, as the case may be, he shall not be liable for prosecution under this chapter.

(2) Notwithstanding anything contained in sub-section (1), where any offence under this Act has been committed by a company and it is proved that the offence has been committed with the consent or connivance of, or is attributable to, any neglect on the part of, any Director, Manager, Secretary or other officer of the company, such

Director, Manager, Secretary or other officer shall also be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly."

22. On a reading of the said provision, it is plain as day that if a person who commits the offence under Section 138 of the Act is a company, the company as well as every person in charge of and responsible to the company for the conduct of business of the company at the time of commission of offence is deemed to be guilty of the offence.

The first proviso carves out under what circumstances the criminal liability would not be fastened. Sub-section (2) enlarges the criminal liability by incorporating the concepts of connivance, negligence and consent that engulfs many categories of officers. It is worth noting that in both the provisions, there is a "deemed" concept of criminal Ct Case No.15969/2017 Sunita Sharma vs. Sonia Khanna Page no.13 of 16 liability.

23. Section 139 of the Act creates a presumption in favour of the holder. The said provision has to be read in conjunction with Section 118(a) which occurs in Chapter XIII of the Act that deals with special rules of evidence. Section 140 stipulates the defence which may not be allowed in a prosecution under Section 138 of the Act. Thus, there is a deemed fiction in relation to criminal liability, presumption in favour of the holder, and denial of a defence in respect of certain aspects.

24. Section 141 uses the term "person" and refers it to a company. There is no trace of doubt that the company is a juristic person. The concept of corporate criminal liability is attracted to a corporation and company and it is so luminescent from the language employed under Section 141 of the Act. It is apposite to note that the present enactment is one where the company itself and certain categories of officers in certain circumstances are deemed to be guilty of the offence.

53. It is to be borne in mind that Section 141 of the Act is concerned with the offences by the company. It makes the other persons vicariously liable for commission of an offence on the part of the company. As has been stated by us earlier, the vicarious liability gets attracted when the condition precedent laid down in Section 141 of the Act stands satisfied. There can be no dispute that as the liability is penal in nature, a strict construction of the provision Ct Case No.15969/2017 Sunita Sharma vs. Sonia Khanna Page no.14 of 16 would be necessitous and, in a way, the warrant.

59. In view of our aforesaid analysis, we arrive at the irresistible conclusion that for maintaining the prosecution under Section 141 of the Act, arraigning of a company as an accused is imperative. " (emphasis supplied)

24. Therefore, the provisions encapsulated in Section 141 establish a form of vicarious liability through a legal construct that hinges on the commission of the offence by the company or firm. It is important to underscore that this vicarious liability is only triggered when the company or firm acts as the primary offender in committing the offence. Therefore, unless the company or firm assumes the role of the principal offender, Directors/partners of the company/firm are not susceptible to vicarious liability or subsequent conviction.

25. This perspective has been reaffirmed by the Hon'ble Supreme Court of India in subsequent rulings, including instances like Himanshu v B. Shivamurthy (2019) 3 SCC 797 and Dilip Hariramani v Bank of Baroda (2022) SCCOnline SC 579. In these cases, the Court emphasized that without the company or firm being implicated as an accused, the prosecution of a Director or partner of the company or firm for a cheque bounce under Section 138 of the Negotiable Instruments Act, 1881, is not tenable.

26. In the ratio of the aforesaid judgments of the Hon'ble Supreme Court, it is clear that if the cheque had been issued by the firm which was subsequently dishonoured, a partner of the firm would Ct Case No.15969/2017 Sunita Sharma vs. Sonia Khanna Page no.15 of 16 not be liable for prosecution under Section 138 of the Act, 1881 without the firm being arraigned as an accused. In the present complaint, the complainant failed to arraign the partnership firm as an accused and therefore no presumption can be drawn against her. Hence, Point for determination no. 1 gets answered in the negative.

27. Accordingly, any discussion qua Point for determination no. 2 has now become redundant.

Conclusion

28. In view of the evidence adduced, documents put forth and arguments advanced by the parties and further in view of the above discussion, the court is of the considered view that Ms Sonia Khanna is not guilty of offence under Section 138 of Negotiable Instruments Act, 1881 and accordingly, she is hereby acquitted under Section 138 of Negotiable Instruments Act, 1881.

Announced in open court on 03.01.2024

Judgment consists of 16 pages.

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